

1 AN ACT relating to prohibited uses of tax dollars and resources.

2 ***Be it enacted by the General Assembly of the Commonwealth of Kentucky:***

3 ➔ Section 1. KRS 48.025 is amended to read as follows:

4 **(1) As used in**~~[Local, state, and federal tax dollars shall not be used to advocate, in~~
5 ~~partial terms, for or against any public question that appears on the ballot. For~~
6 ~~purposes of]~~ this section:

7 **(a)** ~~[,]~~"Local" means and includes any city, county, urban-county government,
8 consolidated local government, unified local government, charter county
9 government, **school district**, or special district~~[,]~~; **and**

10 **(b) "Resources" means any:**

11 **1. Moneys appropriated by the General Assembly;**

12 **2. Items of value, facilities, materials, and other physical resources**
13 **derived from local, state, or federal tax dollars, including but not**
14 **limited to computers, copiers, printers, paper, office supplies, and**
15 **buildings;**

16 **3. Digital resources derived from or supported by local, state, or federal**
17 **tax dollars, including but not limited to any official website, email**
18 **account, or social media account;**

19 **4. Classified and unclassified employees, and other human resources**
20 **within the scope of their state employment; or**

21 **5. Employees and other human resources within the scope of their**
22 **school district employment; and**

23 **(c) "School district" means any:**

24 **1. County school district as defined in KRS 160.010;**

25 **2. Independent school district as defined in KRS 160.020; or**

26 **3. Regional educational cooperative organization formed by local boards**
27 **of education or other public educational institutions listed in KRS**

1 161.220(4), for the purpose of providing educational services to the
2 participating organizations.

3 (2) Local, state, and federal tax dollars and resources shall not be used to advocate
4 for or against any public question that appears on the ballot.

5 (3) Any person who violates subsection (2) of this section shall be:

6 (a) Fined five hundred dollars (\$500) for the first offense;

7 (b) Fined one thousand dollars (\$1,000) for the second offense; and

8 (c) Guilty of a Class A misdemeanor and fined one thousand dollars (\$1,000)
9 for each subsequent offense.

10 (4) This section shall not prohibit a public employee who is not otherwise prohibited
11 under another provision of law from advocating for or against a public question
12 appearing on the ballot on his or her personal time using nongovernment
13 resources.

14 (5) This section shall not apply to:

15 (a) Educational television operating in accordance with KRS Chapter 168, so
16 long as equal opportunity is given to both sides of the public question; or

17 (b) An association advocating for or against a ballot initiative that directly
18 applies to its members, so long as no funds authorized or appropriated by
19 local, state, or federal tax dollars or resources are expended for that
20 purpose.

21 ➔ Section 2. KRS 65.013 is amended to read as follows:

22 (1) As used in this section:

23 (a) [Local, state, and federal tax dollars shall not be used to advocate, in partial
24 terms, for or against any public question that appears on the ballot. For
25 purposes of this section,]"Local" means[and includes] any city, county,
26 urban-county government, consolidated local government, unified local
27 government, charter county government, or special district; and[.]

- 1 **(b) "Resources" has the same meaning as in Section 1 of this Act.**
- 2 **(2) Local, state, and federal tax dollars and resources shall not be used to advocate**
- 3 **for or against any public question that appears on the ballot.**
- 4 **(3) Any person who violates subsection (2) of this section shall be:**
- 5 **(a) Fined five hundred dollars (\$500) for the first offense;**
- 6 **(b) Fined one thousand dollars (\$1,000) for the second offense; and**
- 7 **(c) Guilty of a Class A misdemeanor and fined one thousand dollars (\$1,000)**
- 8 **for each subsequent offense.**
- 9 **(4) This section shall not prohibit a public employee who is not otherwise prohibited**
- 10 **under another provision of law from advocating for or against a public question**
- 11 **appearing on the ballot on his or her personal time using nongovernment**
- 12 **resources.**
- 13 **(5) This section shall not apply to:**
- 14 **(a) Educational television operating in accordance with KRS Chapter 168, so**
- 15 **long as equal opportunity is given to both sides of the public question; or**
- 16 **(b) An association advocating for a ballot initiative that directly applies to its**
- 17 **members, so long as no funds authorized or appropriated by local, state, or**
- 18 **federal tax dollars or resources are expended for that purpose.**

19 ➔Section 3. KRS 132.017 is amended to read as follows:

- 20 (1) As used in this section:
- 21 (a) "Local governmental entity" includes a county fiscal court and legislative
- 22 body of a city, urban-county government, consolidated local government,
- 23 charter county government, unified local government, or other taxing district;
- 24 and
- 25 (b) "Next regular election" means the regular election that occurs immediately
- 26 after all statutory requirements for levying a property tax rate have been met,
- 27 regardless of whether the election occurs in the same or a subsequent calendar

1 year as the levy of the property tax rate.

- 2 (2) (a) 1. Except as provided in subparagraph 2. of this paragraph, the portion of a
3 tax rate levied by an ordinance, order, resolution, or motion of a local
4 governmental entity or district board of education subject to recall as
5 provided for in KRS 68.245, 132.023, 132.027, and 160.470, shall go
6 into effect forty-five (45) days after its passage.
- 7 2. When a tax rate is levied by a district board of education or other taxing
8 district that is primarily located in a county containing an urban-county
9 government or a consolidated local government, the portion of a tax rate
10 levied by an ordinance, order, resolution, or motion of a district board of
11 education or other taxing district subject to recall as provided for in KRS
12 68.245, 132.023, 132.027, and 160.470, shall go into effect fifty (50)
13 days after its passage.
- 14 (b) During the same forty-five (45) day or fifty (50) day time period provided by
15 paragraph (a) of this subsection, any three (3) qualified voters, who reside in
16 the area where the tax levy will be imposed, may commence petition
17 proceedings to protest the passage of the ordinance, order, resolution, or
18 motion by filing an affidavit with the county clerk. The affidavit shall state:
- 19 1. The three (3) qualified voters constitute the members of the petition
20 committee;
- 21 2. The petition committee will be responsible for circulating the petition;
- 22 3. The petition committee will file the petition in the proper form within
23 the same forty-five (45) day or fifty (50) day time period provided by
24 paragraph (a) of this subsection;
- 25 4. The names and addresses of the petition committee members;
- 26 5. The address to which all notices to the committee are to be sent; and
- 27 6. For petition committees filing petitions in response to a tax rate levied

1 by a district board of education or other taxing district that is primarily
2 located in a county containing an urban-county government or a
3 consolidated local government, whether or not the petition committee is
4 willing to incur all of the expenses associated with electronic petition
5 signatures. If the petition committee is not willing to incur all of the
6 expenses, then electronic petition signatures shall not be allowed for the
7 petition.

8 (c) Upon receipt of the affidavit, the county clerk shall immediately:

- 9 1. Notify the petition committee of all statutory requirements for the filing
10 of a valid petition under this section;
- 11 2. Notify the petition committee that the clerk will publish a notice
12 identifying the tax levy being challenged and providing the names and
13 addresses of the petition committee in a newspaper of general
14 circulation within the county, if:
 - 15 a. There is a newspaper within the county in which to publish the
16 notice; and
 - 17 b. The petition committee remits an amount equal to the cost of
18 publishing the notice determined in accordance with the provisions
19 of KRS 424.160 at the time of the filing of the affidavit.

20 If the petition committee elects to have the notice published, the clerk
21 shall publish the notice within five (5) days of receipt of the affidavit;
22 and

- 23 3. Deliver a copy of the affidavit to the appropriate local governmental
24 entity or district board of education.

25 (d) The petition shall meet the following requirements:

- 26 1. All papers of the petition shall be substantially uniform in size and style
27 and shall be assembled in one (1) instrument for filing;

- 1 2. Each sheet of the petition may contain the names of voters from more
2 than one (1) voting precinct;
- 3 3. Each nonelectronic petition signature shall be executed in ink or
4 indelible pencil;
- 5 4. Each electronic petition signature shall comply with the requirements of
6 the Uniform Electronic Transactions Act, KRS 369.101 to 369.120;
- 7 5. Each petition signature shall be followed by the printed name, street
8 address, birth month, and birth year of the person signing; and
- 9 6. a. i. Except for petitions filed in response to a tax rate levied by a
10 district board of education, the petition shall be signed by a
11 number of registered and qualified voters residing in the
12 affected jurisdiction equal to at least ten percent (10%) of the
13 total number of votes cast in the last preceding presidential
14 election.
15 ii. For petitions filed in response to a tax rate levied by a district
16 board of education, the petition shall be signed by at least
17 five thousand (5,000) registered and qualified voters residing
18 in the affected jurisdiction or signed by a number of
19 registered and qualified voters residing in the affected
20 jurisdiction equal to at least ten percent (10%) of the total
21 number of votes cast in the last preceding presidential
22 election, whichever is less.
- 23 b. Electronic petition signatures shall be included in determining
24 whether the required number of petition signatures has been
25 obtained when:
26 i. The expenses associated with the electronic petition
27 signatures have been incurred in accordance with paragraph

- 1 (b)6. of this subsection;
- 2 ii. The electronic petition signatures comply with the
- 3 requirements of this subsection; and
- 4 iii. The petition was filed in response to a tax rate levied by a
- 5 district board of education or other taxing district that is
- 6 primarily located in a county containing an urban-county
- 7 government or a consolidated local government.
- 8 c. The inclusion of an invalid petition signature on a page shall not
- 9 invalidate the entire page of the petition, but shall instead result in
- 10 the invalid petition signature being stricken and not counted.
- 11 (e) Upon the filing of the petition with the county clerk, the ordinance, order,
- 12 resolution, or motion shall be suspended from going into effect until after the
- 13 election referred to in subsection (3) of this section is held, or until the
- 14 petition is finally determined to be insufficient and no further action may be
- 15 taken pursuant to paragraph (i) of this subsection.
- 16 (f) The county clerk shall immediately notify the presiding officer of the
- 17 appropriate local governmental entity or district board of education that the
- 18 petition has been received and shall, within thirty (30) days of the receipt of
- 19 the petition, make a determination of whether the petition contains enough
- 20 signatures of qualified voters to place the ordinance, order, resolution, or
- 21 motion before the voters.
- 22 (g) If the county clerk finds the petition to be sufficient, the clerk shall certify to
- 23 the petition committee and the local governmental entity or district board of
- 24 education within the thirty (30) day period provided for in paragraph (f) of
- 25 this subsection that the petition is properly presented and in compliance with
- 26 the provisions of this section, and that the ordinance, order, resolution, or
- 27 motion levying the tax will be placed before the voters for approval.

- 1 (h) If the county clerk finds the petition to be insufficient, the clerk shall, within
2 the thirty (30) day period provided for in paragraph (f) of this subsection,
3 notify, in writing, the petition committee and the local governmental entity or
4 district board of education of the specific deficiencies found. Notification
5 shall be sent by certified mail and shall be published at least one (1) time in a
6 newspaper of general circulation within the county containing the local
7 governmental entity or district board of education levying the tax. If there is
8 not a newspaper within the county in which to publish the notification, then
9 the notification shall be posted at the courthouse door.
- 10 (i) A final determination of the sufficiency of a petition shall be subject to final
11 review by the Circuit Court of the county in which the local governmental
12 entity or district board of education is located, and shall be limited to the
13 validity of the county clerk's determination. Any petition challenging the
14 county clerk's final determination shall be filed within ten (10) days of the
15 issuance of the clerk's final determination.
- 16 (j) The local governmental entity or district board of education may cause the
17 cancellation of the election by reconsidering and amending the ordinance,
18 order, resolution, or motion to levy a tax rate which will produce no more
19 revenue from real property, exclusive of revenue from new property as
20 defined in KRS 132.010, than four percent (4%) over the amount of revenue
21 produced by the compensating tax rate defined in KRS 132.010 from real
22 property. The action by the local governmental entity or district board of
23 education shall be valid only if taken within fifteen (15) days following the
24 date the clerk finds the petition to be sufficient.
- 25 (3) (a) If an election is necessary under the provisions of subsection (2) of this
26 section:
- 27 1. The local governmental entity shall cause to be submitted to the voters

- 1 of the district at the next regular election, the question as to whether the
2 property tax rate shall be levied; or
- 3 2. The district board of education shall cause to be submitted to the voters
4 of the district in a called common school election not less than thirty-
5 five (35) days nor more than forty-five (45) days from the date the
6 signatures on the petition are validated by the county clerk, or at the next
7 regular election, at the option of the district board of education, the
8 question as to whether the property tax rate shall be levied. The cost of a
9 called common school election shall be borne by the school district
10 holding the election. Any called common school election shall comply
11 with the provisions of KRS 118.025.
- 12 (b) If an election under paragraph (a) of this subsection is held in conjunction
13 with a regular election, the question as to whether the property tax rate shall
14 be levied shall be submitted to the county clerk no later than the second
15 Tuesday in August preceding the regular election.
- 16 (c) In an election held under paragraph (a) of this subsection, the question shall
17 be framed to ask whether the voter is for the levy of the property tax rate. If a
18 majority of the votes cast upon the question oppose its passage, the ordinance,
19 order, resolution, or motion shall not go into effect. If a majority of the votes
20 cast upon the question favor its passage, the ordinance, order, resolution, or
21 motion shall become effective.
- 22 (d) If the ordinance, order, resolution, or motion fails to pass pursuant to an
23 election held under paragraph (a) of this subsection, the property tax rate
24 which will produce four percent (4%) more revenues from real property,
25 exclusive of revenue from new property as defined in KRS 132.010, than the
26 amount of revenue produced by the compensating tax rate defined in KRS
27 132.010, shall be levied without further approval by the local governmental

1 entity or district board of education.

2 (e) **1. As used in**~~[Local, state, and federal tax dollars shall not be used to~~
3 ~~advocate, in partial terms, for or against any public question that appears~~
4 ~~on the ballot in this subsection. For purposes of] this~~
5 **paragraph:**~~[section,]~~

6 **a. "Local" has the same meaning as in Section 2 of this Act; and**

7 **b. "Resources" has the same meaning as in Section 1 of this**
8 **Act**~~[means and includes any city, county, urban county~~
9 ~~government, consolidated local government, unified local~~
10 ~~government, charter county, or special district].~~

11 **2. Local, state, and federal tax dollars and resources shall not be used to**
12 **advocate for or against any public question that appears on the ballot.**

13 (4) Notwithstanding any statutory provision to the contrary, if a local governmental
14 entity or district board of education has not established a final tax rate as of
15 September 15, due to the recall provisions of this section, KRS 68.245, 132.027, or
16 160.470, regular tax bills shall be prepared as required in KRS 133.220 for all
17 districts having a tax rate established by that date; and a second set of bills shall be
18 prepared and collected in the regular manner, according to the provisions of KRS
19 Chapter 132, upon establishment of final tax rates by the remaining districts.

20 (5) If a second billing is necessary, the collection period shall be extended to conform
21 with the second billing date.

22 (6) All costs associated with the second billing shall be paid by the taxing district or
23 districts requiring the second billing.